

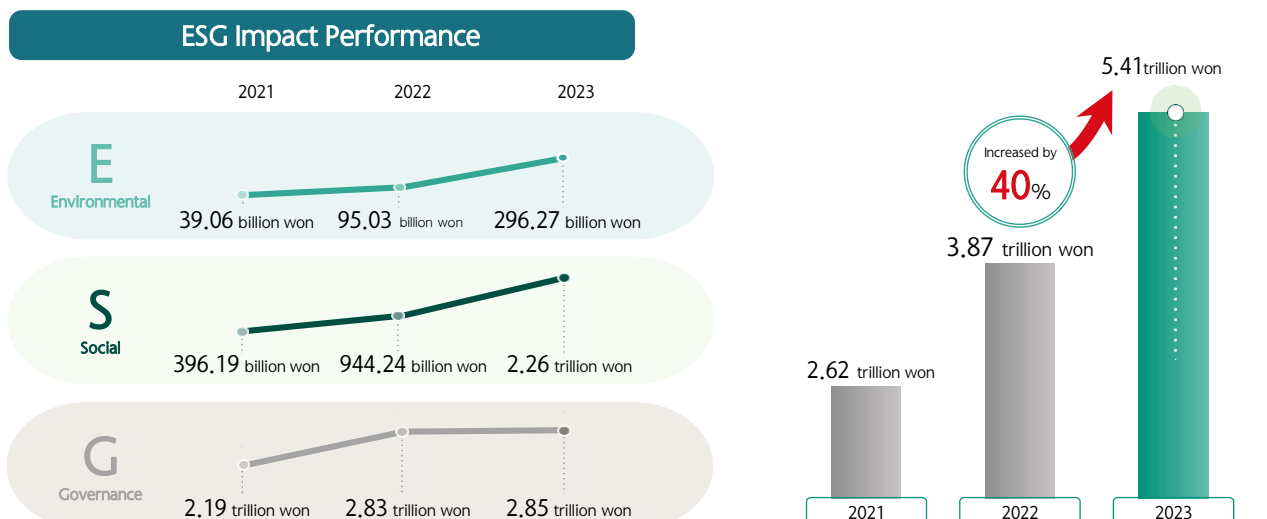
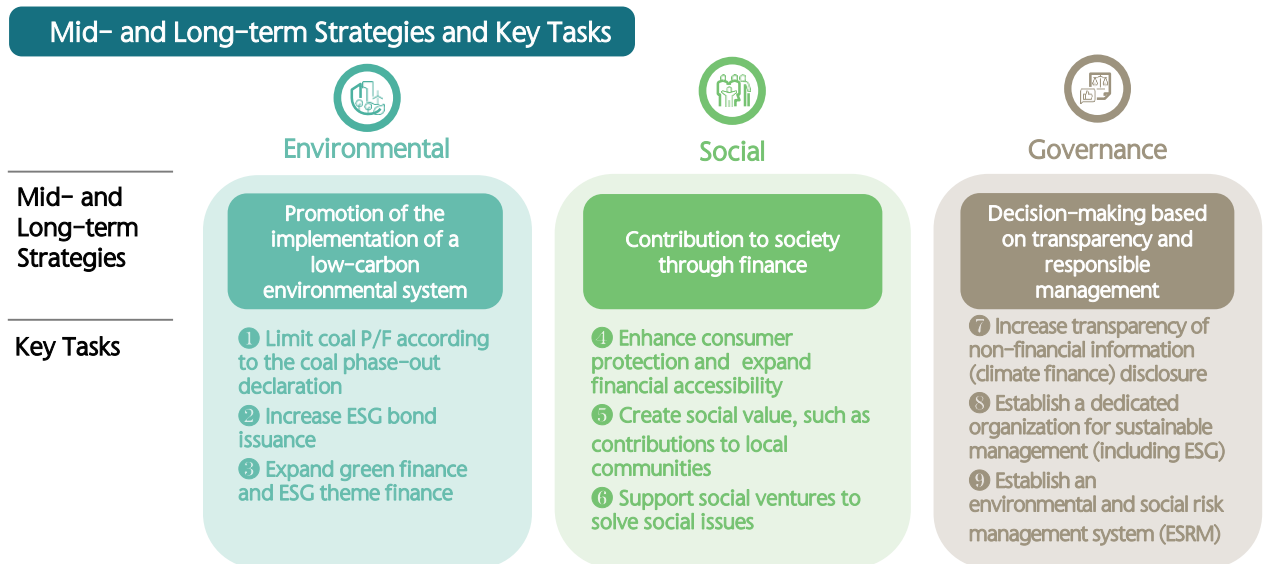
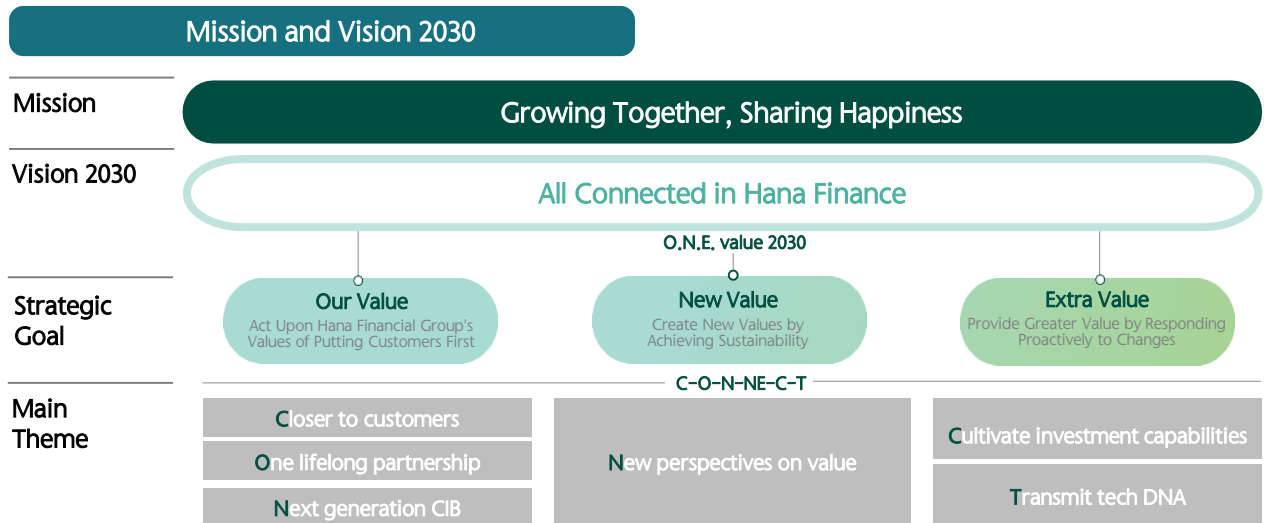


2025 ESG Bond Allocation & Impact Report

February 2025

Hana Financial Group's ESG Highlights

Group's ESG Strategies and Impact



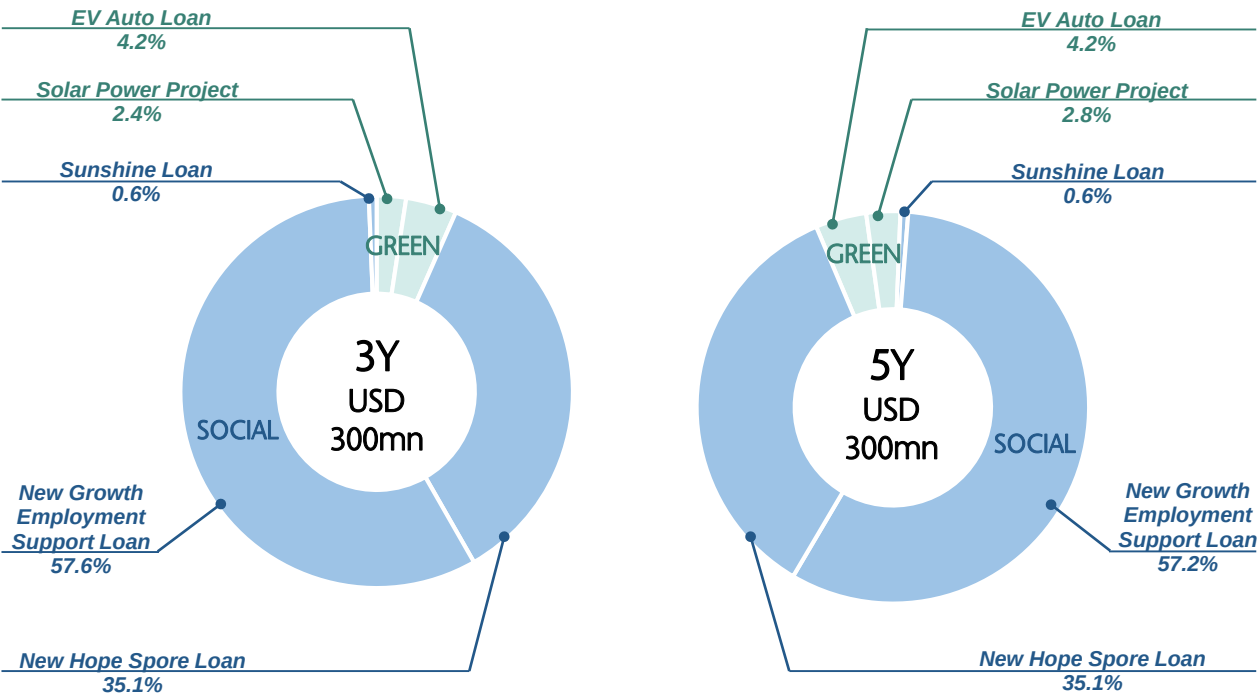
Bond Highlights

ESG Bond Details

Key Issuance Metrics		
Issuer	KEB Hana Bank	
Use of Proceeds	Under 2023 KEB Hana Bank Sustainability Financing Framework	
Instrument	Senior Unsecured Sustainability Bond	
Bond Rating	Aa3 (Moody's) / A+ (S&P)	
Tenor	3 Year	5 Year
Size	USD 300 million	USD 300 million
Issuing Date	23 April 2024	23 April 2024
Maturity	23 April 2027	23 April 2029
ISIN	US48723TAE10	US48723TAG67

Total proceeds of USD 600mn Sustainability Bonds have been **fully allocated** to projects that have been selected in accordance with KEB Hana Bank’s Sustainability Financing Framework that was updated in March 2023.

Allocation Summary



Allocation Reporting

Allocation Breakdown: Green

Project	Location	Amount Allocated (USDmn)	
		3Y	5Y
USD 600mn Senior Unsecured Sustainability Bond			
Renewable Energy			
Solar Power Project	KR	7.25	8.40
Clean Transportation			
EV Auto Loan	KR	12.60	12.63
Total Green Allocation:		19.85	21.03

Allocation Breakdown: Social

Project	Location	Amount Allocated (USDmn)	
		3Y	5Y
USD 600mn Senior Unsecured Sustainability Bond			
Socioeconomic Advancement & Empowerment			
New Hope Spore Loans	KR	105.36	105.37
Sunshine Loan	KR	1.91	1.92
Employment Generation			
New Growth Employment Support Loans	KR	172.87	171.68
Total Social Allocation:		280.15	278.97

3Y – Total Allocation: 100% | Refinancing Ratio: 3.29%

5Y – Total Allocation: 100% | Refinancing Ratio: 0.87%

Notes: USDKRW = 1,380.60 as of Apr 23, 2024

Impact Reporting

Impact Breakdown: Green

Project	Installed Capacity (MW)		No. of EV Supported		CO ₂ Reduction (tCO ₂ /year)	
	3Y	5Y	3Y	5Y	3Y	5Y
USD 600mn Senior Unsecured Sustainability Bond						
Renewable Energy						
Solar Power Project	40.0	40.0	--	--	3,233.13	3,746.69
Clean Transportation						
EV Auto Loan	--	--	293	293	843.39	845.25
Total Green Impact:	40.0	40.0	293	293	4,076.52	4,591.94

Impact Breakdown: Social

Project	No. of Social Loans		Avg. Amount of Social Loans (USD)	
	3Y	5Y	3Y	5Y
USD 600mn Senior Unsecured Sustainability Bond				
Socioeconomic Advancement & Empowerment				
New Hope Spore Loans	9,776	9,936	10,778	10,605
Sunshine Loan	324	289	5,910	6,640
Employment Generation				
New Growth Employment Support Loans	676	630	255,726	272,507
No. of Total Social Loans:	10,776	10,855	--	--

Methodologies for Green Impact

Renewable Energy: Solar Power Project

- The solar power project funded through Sustainability Bond helps to displace electricity generated from fossil fuels.
- In accordance with the EIB guidelines, the GHG emissions avoided have been calculated as the product of the energy production in MWh by the country specific baseline for the carbon intensity of the national grid for intermittent electricity generation.

(Source: [EIB Project Carbon Footprint Methodologies, January 2023](#))

Clean Transportation: EV Auto Loan

- EV purchases funded through Sustainability Bond contribute to replacing traditional petrol or diesel vehicles.
- The total GHG reduction impact of EV is calculated by multiplying the number of EV supported, the estimated annual mileage per vehicle (sourced from the Korean Transportation Safety Authority), and the transportation baseline for passenger vehicles (sourced from the EIB guidelines, which assumes an average carbon emission intensity in gCO₂e/vkm).

(Source: [EIB Project Carbon Footprint Methodologies, January 2023](#))

2023 Sustainability Financing Framework

KEB Hana Bank (“Hana” or “KHB”) updated a Sustainable Financing Framework (“the Framework”) in March 2023 to facilitate issuing financing instruments such as bonds and loans that contribute towards sustainable development.

Bonds issued under the Framework will follow, depending on the type of bonds, the Green Bond Principles (“GBP”), 2021, Social Bond Principles (“SBP”), 2021 and/ or the Sustainability Bond Guideline (“SBG”), 2021 or as they may be subsequently amended.

Use of Proceeds	- Eligible lending products include financing new loans, and refinancing of existing loans that have been issued within 24 months prior to the date of issuance of the bond towards: Eligible social categories • Access to Essential Services • Affordable Housing • Employment Generation • Socioeconomic Advancement and Empowerment Eligible green categories • Renewable Energy • Energy Efficiency • Clean Transportation • Green Buildings • Pollution Prevention and Control • Sustainable Management of Living Natural Resources and Land Use
Evaluation and Selection	- KHB has set up a ESG Planning Section (“ESG PS”) to carry out the evaluation and selection process. The ESG PS also collaborates with Hana Financial Group (HFG)’s ESG Planning Section to align procedures between KHB and HFG. - Eligible assets from KHB’s lending book will be identified and proposed by KHB’s Business Units. Relevant business units will screen customer information against the Eligibility Criteria set out in KHB’s Framework.
Management of Proceeds	- To manage the proceeds of its Sustainable Financing Transaction (“SFT”), KHB will establish a Sustainable Financing Register. The proceeds of each KHB SFT will be deposited in general funding accounts and earmarked for allocation in the Sustainable Financing Register. - Any balance of proceeds from an SFT not allocated to Eligible Assets will be held in accordance with KHB’s general liquidity management policies. - KHB commits, on a best effort basis, to reallocate any allocated proceeds which are no longer eligible to other Eligible Assets as soon as reasonably practicable.
Reporting	- KHB will publish an Allocation & Impact Report within one year of issuance of any SFT, and on an annual basis thereafter until the maturity of any relevant SFT. - The Allocation & Impact Report will be made public on Hana’s Investor Relation website. (https://www.hanafn.com/en/esg/report/esgbond/archive.do)

Second Party Opinion



“The framework is aligned with the four core components of ICMA GBP 2021, SBP 2021, and SBG 2021, and the LMA’s GLP 2023 and SLP 2023.”

Find KEB Hana Bank’s Allocation & Impact Framework and SPO at <https://www.hanafn.com/en/esg/report/esgbond/archive.do>